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Assessing the Impact of the Regional Comprehensive Economic Partnership on ASEAN Trade

Sithanonxay Suvannaphakdy

The Regional Comprehensive Economic Partnership (RCEP) is a regionwide free trade agreement (FTA) linking the ten ASEAN economies to their "+5" partners, namely Australia, China, Japan, New Zealand and South Korea. It covers both trade and non-trade related issues ranging from rules of origin and trade facilitation to intellectual property rights and investment. This study examines the likely impact of RCEP on trade alone, taking into account the fact that all its members are already participants in a number of other FTAs. Using latest FTA data from the WTO on imports and exports, this study reveals that tariff reduction under RCEP will erode ASEAN's trade preferences provided by existing FTA partners, while reallocating import sources of ASEAN countries towards more efficient RCEP partners.

Keywords: Regional Comprehensive Economic Partnership (RCEP), ASEAN, Free Trade Agreement (FTA), tariff.

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1. Introduction

Free trade agreements (FTAs) create both winners and losers, and the formation of the Regional Comprehensive Economic Partnership (RCEP) is no exception. RCEP is a regional agreement that aims to liberalize trade and investment, and to strengthen economic cooperation between ASEAN and its partners. It has gone through several rounds of negotiations since 2012, between the ten ASEAN member states and six dialogue partners, namely, Australia, China, India, Japan, South Korea and New Zealand. In November 2019, India's withdrawal reduced the number of negotiating countries from sixteen to fifteen. Nonetheless, RCEP remains the largest FTA in the world, with a combined gross domestic product (GDP)

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(on a purchasing power parity basis) of US$24.8 trillion[1] and a population of over 2.3 billion people[2] (as of 2018).

The economic integration of ASEAN with its dialogue partners is a major milestone in the realization of the ASEAN Economic Community (AEC) that aims to assimilate ASEAN into the global economy. RCEP covers comprehensive trade and non-trade issues that can enhance further liberalization of trade and investment in the region. It consists of twenty chapters,[3] which extend the Association's ambition beyond the limits of trade and trade policy to include novel non-trade issues. Some of these, such as rules of origin, technical barriers to trade, trade in services, electronic commerce, intellectual property and investment, have been included in the AEC Blueprint 2025.[4]

Another salient feature of RCEP is that ASEAN has strong economic linkages with its "+5" partners through trade and investment. In 2018, the grouping's total trade in goods—imports plus exports—stood at US$2.8 trillion, 34 per cent of which was accounted by the bilateral trade between ASEAN and its five partners while 23 per cent represented intra-ASEAN trade. Moreover, total inflow of foreign direct investment (FDI) in ASEAN was valued at US$152.8 billion in 2018, 25 per cent of which was sourced from the +5 partners and 15 per cent from ASEAN countries (ASEC 2020). Taken together, intra-RCEP trade and investment already account for 57 per cent of total trade and 40 per cent of total FDI inflow in ASEAN, respectively. The large market size of RCEP, coupled with strong trade and investment linkages between ASEAN and its dialogue partners, suggests that any small reduction in trade barriers is likely to increase gains from trade among RCEP members.

This study explores the trade effects of RCEP on ASEAN, particularly focusing on a traditional trade policy instrument—tariffs. The trade effects of tariff reduction include trade creation, trade diversion, preference erosion and trade reversion. This study provides additional insights on the future development of ASEAN trade. First, ASEAN countries have made substantial progress in tariff reductions, but existing ASEAN+1 FTAs have not yet achieved 100 per cent tariff elimination on imports from FTA partners. Second, RCEP has emerged in an environment with numerous overlapping FTAs, and this could erode ASEAN's trade preferences granted by the current FTA partners. Third, Japan has not yet entered into any FTA with its key trading partners (China and South Korea), but RCEP will reduce tariffs on imports from the nations. As RCEP will interact with many existing ASEAN+1 FTAs and reduce tariffs on imports from the dialogue partners, it is still unclear whether ASEAN member states stand to gain from tariff reduction under the mega trade agreement.

This study contributes to the empirical literature on RCEP in three ways. First, it analyses the trade implications of tariff reduction under RCEP for all ten ASEAN countries. Previous studies have quantified this trade impact on smaller subgroups of Southeast Asian economies, such as Cambodia, Laos and Myanmar (Petri and Plummer 2020) and Brunei and Myanmar (Itakura 2015). As these economies are relatively small and have different trading partners, tariff reduction under RCEP could result in different trade effects for all ten ASEAN countries taken together.

Second, the paper examines four possible trade effects of RCEP for ASEAN, namely, trade creation, trade diversion, preference erosion and trade reversion. Itakura (2015) and Petri and Plummer (2020) apply a computable general equilibrium model to assess trade gains or losses based on the concept of trade creation and trade diversion introduced by Viner (1950). As RCEP overlaps with existing ASEAN+1 FTAs, two additional effects—preference erosion and trader reversion—also need to be explored (Deardorff 2014).

Third, this study assesses the trade effects of RCEP using both aggregate and disaggregated trade flows. Disaggregated trade flows are classified into three groups based on product classification of Broad Economic Categories (BEC), namely capital goods, intermediate goods and consumption goods.[5] Intermediate goods are used to measure the degree to which production processes are fragmented across countries (Yeats 1998). An increase in trade of intermediate goods driven by tariff reductions under RCEP

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indicates the intensity of global value chains among its member countries.

This paper is organized as follows. The next section presents details of tariff reductions under existing FTAs in ASEAN. The subsequent section maps these FTAs onto the ten ASEAN countries and their +5 partners. The fourth section uses FTA mapping and trade direction to derive possible trade effects of RCEP. The following section highlights the trade implications of RCEP for ASEAN, while the final section concludes the study with policy implications.

2. Tariff Reductions in ASEAN

ASEAN countries have made substantial progress in tariff reductions, but the degree of implementation of tariff elimination (zero tariffs) varies across the member countries. To promote intra-ASEAN trade, the Association established the ASEAN Free Trade Area (AFTA) in 1992 to eliminate tariffs on imports among its members. AFTA was then replaced by the ASEAN Trade in Goods Agreement (ATIGA) in 2010. In 2019, zero tariffs on imports among member states averaged at 98.6 per cent of total tariff lines (number of products). The ASEAN-6 countries (Brunei, Indonesia, Malaysia, the Philippines, Singapore and Thailand) eliminated 99.3 per cent of total tariff lines, which was 1.6 percentage point higher than the figure attained by the ASEAN-4 countries (Cambodia, Laos, Myanmar and Vietnam) (97.7 per cent of total tariff lines) (ASEC 2019).

To promote extra-ASEAN trade, member countries have formed individual regional FTAs with their dialogue partners, but with different commitments on tariff reductions. On average, ASEAN as a group has committed to eliminate 94.9 per cent and 92.9 per cent of total tariff lines under the ASEAN-Republic of Korea Comprehensive Economic Cooperation Agreement (AKFTA) and ASEAN-Japan Comprehensive Economic Partnership (AJCEP), respectively (Figure 1). The Association's commitment on tariff reductions under the ASEAN-India FTA is even lower; but given that India is currently not part of RCEP, this should not serve as a benchmark for tariff reductions under the trade agreement.

In addition, commitments towards tariff reductions under each ASEAN+1 FTA also vary across ASEAN countries. Under the AJCEP, for instance, Singapore, Brunei and the Philippines committed to eliminate 100 per cent, 97.7 per cent and 97.4 per cent of total tariff lines, respectively. Meanwhile, Laos, Cambodia and Myanmar committed to eliminate 86.9 per cent, 85.7 per cent, and 85.2 per cent of total tariff lines, respectively (Fukunaga and Isono 2013).

Different levels of tariff reductions in ASEAN+1 FTAs suggest that there is room for RCEP to reduce tariffs on imports among its members. In fact, RCEP should emerge as a region-wide FTA to consolidate the existing ASEAN+1 FTAs and reduce the negative impact of complicated rules of origin on trade flows.

3. Overlapping FTAs among RCEP Partners

RCEP has created an overarching FTA among some countries that are already part of other agreements with ASEAN or its individual economies. As a matter of fact, all ASEAN countries already have FTAs with the grouping's major trading partners, partly because of the membership in ATIGA, ASEAN+1 FTAs (e.g., ASEAN-China FTA, ASEAN-Japan FTA, ASEAN-Australia-New Zealand FTA, ASEAN-Korea FTA) and CPTPP, but also because some of them have bilateral FTAs with each other (such as Japan-Singapore FTA, Malaysia-Australia FTA, Japan-Thailand FTA, *inter alia*).

To see this, Figure 2 depicts the economies in RCEP, grouped by their membership (and the lack thereof) in ASEAN. It then shows, for each pair of economies, the current memberships in FTAs (denoted by "F") as reported to the WTO.[6] FTA mapping in the figure shows each pair of economies twice and is therefore symmetric around the diagonal, where economies are paired with themselves and the cells are empty.

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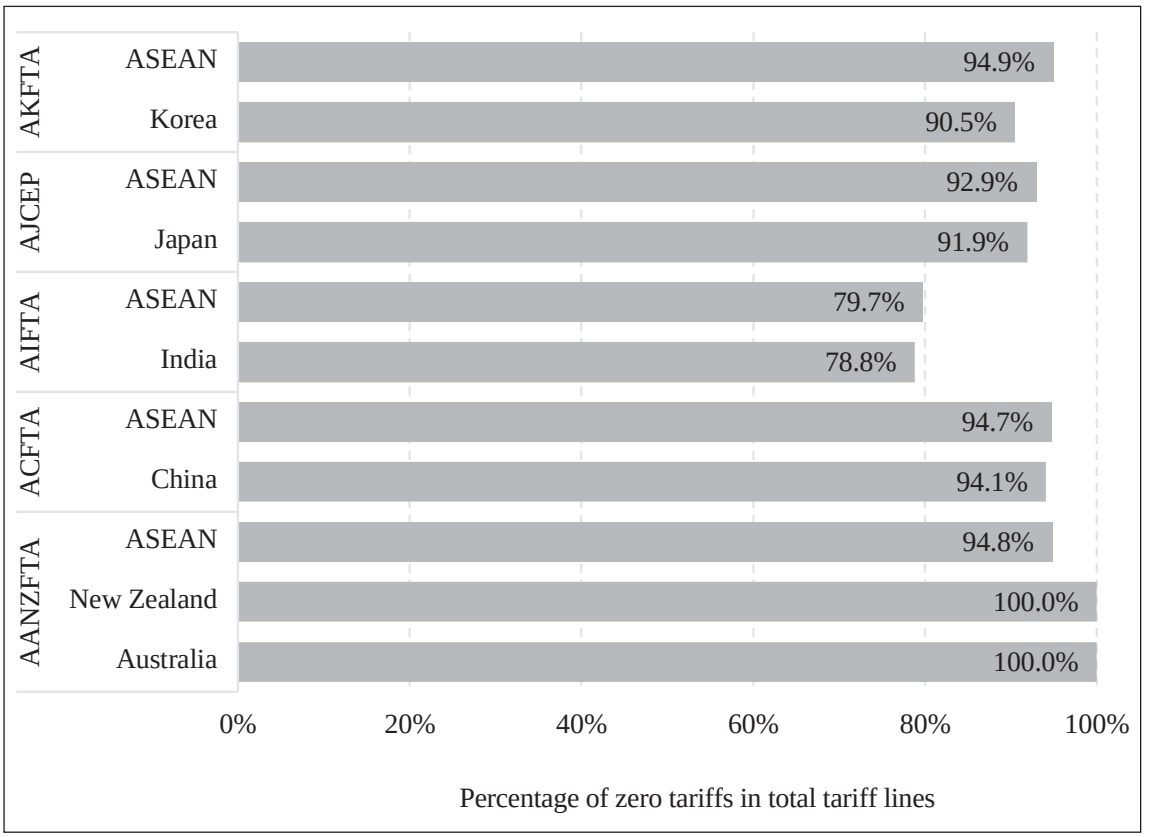
FIGURE 1
Coverage of Tariff Elimination in ASEAN, +5 Partners and India under ASEAN+1 FTAs



NOTES: AANZFTA = ASEAN-Australia and New Zealand FTA; AJCEP = ASEAN-Japan Comprehensive Economic Partnership; ACFTA = ASEAN-People's Republic of China Comprehensive Economic Cooperation Agreement; and AKFTA = ASEAN-Republic of Korea Comprehensive Economic Cooperation Agreement.
Korea = South Korea; PRC = People's Republic of China.
SOURCE: Author's calculation using data from Kuno (2013) cited in Fukunaga and Isono (2013).

Figure 2 reveals three salient features of the existing FTAs among RCEP partners. First, the RCEP countries are already heavily linked by numerous existing FTAs. Of the 105 possible pairs of economies in the fifteen-country RCEP, 103 have FTAs.[7] The remaining pairs (Japan-China and Japan-South Korea) do not have FTAs. Second, all ASEAN countries have FTAs with their +5 partners through bilateral FTAs and ASEAN+1 FTAs. Third, among ASEAN members, only Singapore has an FTA with the United States.

Together, these observations make the compelling point that RCEP will interact with a host of other existing FTAs. This observation motivates the discussion of the effects of RCEP in the following sections.

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FIGURE 2
Existing FTAs among RCEP and Other Selected Economies

		ASEAN										+5 Partners					Others			
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei		F	F	F	F	F	F	F	F	F	F	F	F	F	F		F		
	Cambodia	F		F	F	F	F	F	F	F	F	F	F	F	F	F		F		
	Indonesia	F	F		F	F	F	F	F	F	F	F	F	F	F	F		F		
	Laos	F	F	F		F	F	F	F	F	F	F	F	F	F	F		F		
	Myanmar	F	F	F	F		F	F	F	F	F	F	F	F	F	F		F		
	Malaysia	F	F	F	F	F		F	F	F	F	F	F	F	F	F		F		
	The Philippines	F	F	F	F	F	F		F	F	F	F	F	F	F	F		F		
	Singapore	F	F	F	F	F	F	F		F	F	F	F	F	F	F		F	F	F
	Thailand	F	F	F	F	F	F	F	F		F	F	F	F	F	F		F		
	Vietnam	F	F	F	F	F	F	F	F	F		F	F	F	F	F		F		
+5 Partners	Australia	F	F	F	F	F	F	F	F	F	F		F	F	F	F	F			F
	China	F	F	F	F	F	F	F	F	F	F	F			F	F	F			
	Japan	F	F	F	F	F	F	F	F	F	F	F				F		F		
	South Korea	F	F	F	F	F	F	F	F	F	F	F	F			F		F		F
	New Zealand	F	F	F	F	F	F	F	F	F	F	F	F	F	F		F		F	
Others	Hong Kong											F	F			F				
	India	F	F	F	F	F	F	F	F	F	F			F	F					
	Taipei, China								F							F				
	US								F			F			F					

NOTES: ASEAN = Association of Southeast Asian Nations; +5 Partners = Australia, China, Japan, South Korea, and New Zealand.
SOURCE: Author's representation using WTO's Regional Trade Agreement Database. http://rtais.wto.org/UI/publicPreDefRepByCountry.aspx

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4. Identifying the Trade Effects of RCEP

Tariff reductions under RCEP will generate three possible trade effects in ASEAN. These include trade diversion, erosion of trade preference and trade reversion. Trade diversion occurs when ASEAN countries import from their FTA partners the goods that they previously imported from non-FTA partners. Preference erosion takes place when ASEAN exporters lose the tariff reduction benefits of the ASEAN+1 FTAs, when the RCEP gives the same zero tariff access to member countries. Trade reversion is the reversal of trade diversion. It occurs when a country that was previously outside of an FTA of one or more ASEAN countries, and thus suffered from trade diversion, becomes a member of RCEP. After joining RCEP, that country will reverse its previously lost exports.

For the +5 partners, RCEP will generate four possible trade effects, three of which are similar to those of ASEAN. Another trade effect is trade creation, which will occur for China, Japan and South Korea. Trade creation happens when countries import from their FTA partners the goods that they previously produced for themselves. Since they would do so only if the partners produce the goods more economically than they can themselves, both nations benefit from the exchange in terms of the cost of the countries' total consumption.

The trade effects of RCEP are identified using information on the direction of trade of the RCEP partners and data on existing FTAs. Following the framework adopted by Deardorff (2014), this study will look at the top five import and export countries to determine the effects of changes induced by the mega trade agreement. ASEAN's trade data for 2018 reveals that more than half of exports and imports in ASEAN countries is accounted by the top five trading partners (Tables A.1 and A.2), suggesting the representativeness of the top five trading partners for total exports and imports in ASEAN.

Table A.1 summarizes exports of ASEAN countries in terms of export values, top five export destinations and the percentage of total export values accounted for by the top five export destinations in 2018. It reveals two key features of the direction of exports in ASEAN. First, ASEAN exports are concentrated in the top five markets, which make up at least 50 per cent of total exports in Brunei, Indonesia, Laos, Myanmar, Malaysia, the Philippines, Singapore and Vietnam. Thailand (43 per cent) and Cambodia (48.9 per cent) record slightly lower shares of top five markets in their total exports than the other ASEAN countries. Second, China and Japan are listed in the top five export markets for nine out of the ten ASEAN countries. Only Singapore does not have Japan in its top five export markets.

Similarly, Table A.2 summarizes imports of ASEAN countries in 2018. It reveals that the top five trading partners of ASEAN's imports are more concentrated than those of its exports. For all member states, the share of the top five import sources in total imports is greater than 50 per cent, ranging from around 50–54 per cent in Singapore, Thailand, Malaysia and the Philippines, to 83 per cent in Cambodia and 93 per cent in Laos. In addition, China and Japan appear in the list of top five import sources for eight out of the ten ASEAN countries, namely Brunei, Indonesia, Laos, Malaysia, the Philippines, Singapore, Thailand and Vietnam. Cambodia imports mainly from Thailand and China. And Myanmar imports primarily from China and Singapore.

The information on the direction of trade for ASEAN is then mapped onto existing FTAs. Figure 3 shows for each economy, the five trading partners to which it exports the most, with the top-ranked trading partner marked "E" and the others "e". Figure 4 shows the same for imports, with the markings "M" and "m". In some cases, fewer than five trading partners are indicated—this happens when the top five feature countries not included in this study, especially the EU members. Furthermore, the information on the direction of trade in Figures 3 and 4 is combined with the information on existing FTAs in Figure 2, to infer how ASEAN economies could be affected by RCEP. For that purpose, cells of Figures 3 and 4 that correspond to FTAs in Figure 2 are shaded grey. The same mapping approach is applied to exports and imports of intermediate goods, capital goods and consumption goods. These are presented in the Annex (Figures A.1–A.6).

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FIGURE 3
Total Exports to Top Five Destinations for RCEP Economies, 2018

		ASEAN										*+5 Partners*					*Others*			
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei								e	e		e		E	e					
	Cambodia												e	e						E
	Indonesia								e				E	e				e		e
	Laos									E	e		e	e						e
	Myanmar									e			E	e			e	e		
	Malaysia								E				e	e			e			e
	The Philippines								e				e	e			e			E
	Singapore			e			e						E				e			e
	Thailand										e		E	e			e			e
	Vietnam												e	e	e		e			E
+5 Partners	Australia												E	e	e			e		e
	China										e			e	e		e			E
	Japan												E		e		e		e	e
	South Korea										e		E	e			e			e
	New Zealand											e	E	e	e					e
Others	Hong Kong									e			E	e				e		e
	India								e				e				e			E
	Taipei, China								e				E	e			e			e
	US												e	e						

Notes: ASEAN = Association of Southeast Asian Nations; +5 Partners = Australia, China, Japan, South Korea, and New Zealand; E = Max; e = Top 2–5. Cells correspond to exports from row to column.
SOURCE: Author's calculation using data from the International Trade Centre, Trade Map. https://www.trademap.org/

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FIGURE 4
Total Imports from Top Five Sources for RCEP Economies, 2018

		ASEAN										+5 Partners					Others			
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei						m		m				M	m						m
	Cambodia								m	M	m		m				m			
	Indonesia								m	m			M	m						m
	Laos									M	m		m	m						
	Myanmar			m					m	m			M					m		
	Malaysia								m				M	m					m	m
	The Philippines									m			M	m	m					m
	Singapore						m						M	m					m	m
	Thailand						m						M	m						m
	Vietnam												M	m	m				m	m
+5 Partners	Australia									m			M	m						m
	China													m	M				m	m
	Japan											m	M		m					m
	South Korea												M	m						m
	New Zealand											m	M	m						m
Others	Hong Kong								m				M	m	m				m	
	India												M							m
	Taipei, China												M	m	m					m
	US												M	m						

NOTES: ASEAN = Association of Southeast Asian Nations; +5 Partners = Australia, China, Japan, South Korea, and New Zealand; M = Max; m = Top 2–5. Cells correspond to imports to row from column.
SOURCE: Author's calculation using data from the International Trade Centre, Trade Map. https://www.trademap.org/

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The trade effects of RCEP for ASEAN countries and the +5 partners are recorded in Table 1 for gains or losses from exports, and in Table 2 for gains or losses from imports. One or more of the four aforementioned effects (trade creation, trade diversion, preference erosion and trade reversion) is then identified, depending on whether: (1) the exporting country is part of RCEP; and (2) the exporting and importing economies are already in an FTA other than RCEP. Specifically, this study considers the status of exporter in RCEP, coupled with the membership or non-membership of exporter and importer in an FTA, as follows:

(i) If exporter and importer are together in an FTA
- Exporter loses from preference erosion (-E)
- Importer gains from trade reversion (+R)

(ii) If exporter and importer are *not* together in an FTA
- Exporter gains from both trade creation and trade diversion (+C+D)
- Importer gains from trade creation and loses from trade diversion (+C-D)

Table 1 presents gains or losses for total exports and disaggregated exports for intermediate goods, capital goods and consumption goods. For total exports, each export from Figure 3 gives rise to one or more entries in Table 1, indicating gains or losses for total exports via the mechanisms of trade effects. The reason for the gains or losses are denoted by the letters C, D, E, which are uppercase when corresponding to the top-ranked exports in Figure 3, and lowercase otherwise. For disaggregated exports, each export from Figures A.1–A.3 gives rise to one or more entries in Table 1, indicating gains or losses for exports of intermediate goods, capital goods and consumption goods via the mechanisms of trade effects.

Likewise, Table 2 presents gains or losses for total imports and disaggregated imports for intermediate goods, capital goods and consumption goods. For total imports, each import from Figure 4 gives rise to one or more entries in Table 2, indicating gains or losses for total imports via the mechanisms of trade effects. The reason for the gains and losses are denoted by the letters C, D, R, which are uppercase when corresponding to the top-ranked imports in Figure 4, and lowercase otherwise. For disaggregated imports, each import from Figures A.4–A.6 gives rise to one or more entries in Table 2, indicating gains or losses for imports of intermediate goods, capital goods and consumption goods via the mechanisms of trade effects.

For the case of Brunei, all top five export destinations in Figure 3 are RCEP partners, namely “e” Singapore, “e” Thailand, “e” Australia, “E” Japan and “e” South Korea. In Table 1, these correspond to the row of Brunei and column of total export losses as “e, e, e, E, e”. Four out of the top five import sources of Brunei are in RCEP, namely “m” Malaysia, “m” Singapore, “M” China, and “m” Japan (Figure 4). In Table 2, these correspond to the row of Brunei and column of total import gains as “r, r, R, r”. The remaining “d” is recorded as total import losses because RCEP will divert the import source of Brunei from the United States. The same interpretation applies to exports and imports of intermediate goods, capital goods and consumption goods for other RCEP partners.

5. Assessing the Impact of RCEP on ASEAN Trade

The erosion of trade preferences under RCEP will result in export losses, while the trade reversion will result in import gains for ASEAN countries. The Association’s member states will also witness import losses due to trade diversion, but the size of these losses will be quite small. In contrast, China, Japan and South Korea will see their exports increase due to trade creation and trade diversion of RCEP.

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TABLE 1
Gains and Losses Due to RCEP (Via Top Five Export Countries)

	Total Exports		*Intermediate Goods*		*Capital Goods*		*Consumption Goods*	
RCEP Members	*Gains*	*Losses*	*Gains*	*Losses*	*Gains*	*Losses*	*Gains*	*Losses*
ASEAN								
Brunei		e,e,e,E,e		e,e,e,E,e		E,e,e,e		e,E
Cambodia		e,e		e,E		E,e,e		e
Indonesia		e,E,e		e,E,e,e		E,e,e		e,e,e,e
Laos		E,e,e,e		E,e,e,e		e,E,e,e		e,E,e,e
Myanmar		e,E,e		e,e,e,E		E,e,e		e,E
Malaysia		E,e,e		e,E,e		e,e,e		e,e,e
The Philippines		e,e,e		e,e,e		e,e		e,e,e
Singapore		e,e,E		e,e,e		e,e,E,e		e,e,e
Thailand		e,E,e		e,e,E,e		e,e,e		e,e,e,e
Vietnam		e,e,e		E,e,e		e,e		e,e,e
+5 partners								
Australia		E,e,e		E,e,e		e,e,E		E,e,e,e
China	c,d	e,e	c,d	e,e	c,d	e	c,d	
Japan	C,D,c,d		C,D,c,d	e	C,D,c,d		D,D,c,d	e
South Korea	c,d	e,E	c,d	e,E	c,d	E	c,d	e,E
New Zealand		e,E,e,e		e,E,e,e		E,e		e,E,e

NOTES: c, C = trade creation; d, D = trade diversion; e, E = preference erosion (upper case if from largest exports, lower case otherwise).
SOURCE: Author's inference based on Figures 2, 3, A.1–A.3.

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TABLE 2
Gains and Losses Due to RCEP (Via Top Five Import Countries)

	Total Imports		*Intermediate Goods*		*Capital Goods*		*Consumption Goods*	
RCEP Members	*Gains*	*Losses*	*Gains*	*Losses*	*Gains*	*Losses*	*Gains*	*Losses*
ASEAN								
Brunei	r,r,R,r	d	r,r,R	d	r,r,R,r	d	r,R,r,r,r	
Cambodia	r,R,r,r	d	r,r,r,R	d	r,r,R,r,r		r,r,R,r,r	
Indonesia	r,r,R,r	d	r,r,R,r	d	r,r,R,r		r,r,R	d
Laos	R,r,r,r		R,r,r,r		r,r,R,r,r		r,R,r,r	d
Myanmar	r,r,r,R,r		r,r,r,r		r,r,R,r		r,R,r,r	
Malaysia	r,R,r	d,d	r,r,R,r	d	r,r,R,r		r,r,r,R	
The Philippines	r,R,r,r	d	r,R,r,r	d	r,r,R,r		r,r,r,R	d
Singapore	r,R,r,r,r		r,r,r,r		r,R,r		r,r	
Thailand	r,R,r	d	r,R,r	d	r,R,r	d	r,r,R,r	d
Vietnam	R,r,r	d,d	r,R,r,r	d	r,R,r,r		r,r,R,r	d
+5 partners								
Australia	r,R,r,r		r,R,r		r,R,r		r,R,r	
China	c,R	d,d,d	r,R,c	d,d	C,r	D,d	c	d,D
Japan	r,C,c	D,d,d	r,C	D,d	r,r,C	D,d	r,r,C	D,d
South Korea	R,c,r	d	r,R,c	d	R,c	d	r,R,c	d
New Zealand	r,R,r	d	r,r,R	d	r,R,r	d	r,r,R	d

NOTES: c, C = trade creation; d, D = trade diversion; r, R = trade reversion (upper case if from largest imports, lower case otherwise).
SOURCE: Author's inference based on Figures 2, 4, A.4–A.6.

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5.1 Impact on Exports

As exporters, ASEAN countries will face export losses due to the erosion of their trade preferences. Usually, tariff reductions are expected to increase exports. In the context of ASEAN, however, tariff reductions under RCEP will erode trade preferences in the grouping as RCEP will overlap with many other ASEAN+1 FTAs.

The analysis of the top five export destinations for ASEAN countries using export data from 2018 reveals that ASEAN economies will face different degrees of export losses from preference erosion. At the aggregate level, countries with relatively large export losses include Brunei, Indonesia, Laos, Myanmar, Malaysia, Singapore and Thailand. In contrast, Cambodia, the Philippines and Vietnam are likely to face limited losses as they export mainly to the United States, which is not part of RCEP. At the product level, preference erosion is more pronounced for the exports of intermediate and capital goods. Except for the Philippines and Singapore, ASEAN countries will lose part of their exports of intermediate goods. Similarly, six out of the ten ASEAN countries will lose part of their exports of capital goods (Table 1).

This paper considers two scenarios to demonstrate how preference erosion reduces ASEAN's exports, using ASEAN-China, ASEAN-Japan and ASEAN-Korea FTAs as examples. Before the formation of RCEP, only ASEAN countries had preferential access to markets in China, Japan and South Korea under the ASEAN+1 FTAs. Exporters from the grouping enjoyed low preferential tariff rates granted by the three countries, while exporters from the three nations also enjoyed low preferential tariff rates granted by ASEAN countries. Meanwhile, exports from Japan to China or vice versa benefited from the most-favoured-nation (MFN) tariff rates, which were usually higher than the preferential tariff rates. Nevertheless, China was (and continues to be) the main export market for Japan.

After the formation of RCEP, ASEAN's preferential access to the markets of +5 partners will be reduced because the mega trade deal will set the same threshold of tariff reductions on imports among all its partners. China, Japan and South Korea will have preferential access to each other's markets in addition to ASEAN's. This is particularly important for Japan, which has not yet formed any FTA with China and South Korea. The reduction of tariffs under RCEP will generate trade flows among Japan, China and South Korea, and to some extent divert trade flows from ASEAN. The preferential access enjoyed by ASEAN economies to the RCEP partner markets will be reduced, as part of the market share will be occupied by trade expansion in the +5 partners. The same mechanism of preference erosion applies to other ASEAN+1 FTAs.

5.2 Impact on Imports

As importers, ASEAN countries will gain from imports as the trade reversion effect of RCEP will enable them to reallocate their import sources towards more efficient RCEP partners. Again, this can be attributed to the numerous FTA overlaps in the Association.

Analysis of the top five import sources for ASEAN countries using import data from 2018 reveals that all ten members will gain substantially from trade reversion because their largest import sources are members of RCEP. Cambodia and Laos import mainly from Thailand. Other ASEAN countries import mainly from China. At the product level, except for Myanmar and Singapore, ASEAN member states will enjoy large gains from trade reversion in intermediate goods, capital goods and consumption goods. Myanmar will benefit from trade reversion in capital and consumption goods, and Singapore in capital goods (Table 2).

To demonstrate the trade reversion effect of RCEP, again two scenarios are considered, before and after the formation of RCEP, using ASEAN-China FTA and ASEAN-Japan FTA as illustrations. Before the formation of RCEP, ASEAN entered into an FTA with China, which came into force in 2005.

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Under the ASEAN-China FTA, exports from China to ASEAN countries faced preferential tariff rates. Meanwhile, Japan also exported goods to ASEAN, but its exports faced the MFN tariff rates imposed by most ASEAN countries (at that point, Japan did not have any FTA with ASEAN countries—with the exception of Singapore).[8] Given the high MFN tariff rates compared to the preferential tariff rates, goods imported from Japan were more expensive than those from China. As a result, ASEAN countries increased their imports from China while reducing those from Japan. Figure 4 shows that, since 2018, China is the leading import country for eight of the ten ASEAN member states. The two exceptions are Cambodia and Laos, given their robust connectivity with Thailand in the Greater Mekong Subregion.

Switching to China for imports meant that ASEAN countries had to purchase higher cost goods. While this loss was not visible to the consumers (who found the products cheaper due to the absence of tariffs), member countries incurred massive losses in the form of lost tariff revenues. In addition, local ASEAN producers faced stiff competition from exporters in China. For the same reason, Japanese exports to ASEAN dramatically fell.

In response to the trade diversion caused by the ASEAN-China trade deal, three years later, Japan formed an FTA with ASEAN, which entered into force in 2008. Under the agreement, exports from Japan to ASEAN faced preferential tariff rates (92.9 per cent zero tariffs in total tariff lines, compared to 94.7 per cent under the ASEAN-China FTA), which partially reversed the loss of Japanese exports. But the 1.78 percentage point differential in favour of China meant that ASEAN continued to face the problem of higher cost Chinese imports.

Now, consider the scenario once RCEP is in place. ASEAN, Japan and China will face the second round of trade reversion. As a regional FTA, RCEP will reduce the trade diversion effect of the ASEAN-China FTA by setting the same threshold of tariff reductions for all partners. It is important to note that a meaningful threshold of tariff reductions should be at least as high as the maximum tariff reductions committed by ASEAN (under ASEAN-China FTA) in order to fully reverse the trade diversion effect. For instance, setting the threshold of tariff reductions under RCEP at 93 per cent of total tariff lines would mean that exports of goods from Japan to ASEAN will still face higher average tariffs than those from China (94.7 per cent zero tariffs). In contrast, if the threshold is set at 96 per cent of total tariff lines or higher, exports from Japan and China to ASEAN will face the same tariff level. ASEAN countries could then increase imports from Japan, while reducing imports from China. Nonetheless, the trade reversion effect of RCEP will not recover ASEAN's already lost tariff revenues. The same mechanism of trade reversion caused by RCEP also applies to other ASEAN+1 FTAs.

6. Conclusion

RCEP will emerge in an environment with numerous overlapping FTAs. Tariff reduction under the mega trade deal will reduce ASEAN's exports as it will erode trade preferences of the Association's constituent countries provided by existing FTA partners. Meanwhile, it will generate trade reversion, enabling the member countries to reallocate their import sources towards more efficient RCEP partners.

The degree of export losses will vary across countries. Brunei, Indonesia, Laos, Myanmar, Malaysia, Singapore and Thailand are likely to suffer relatively large losses as their top five export markets fall under RCEP. The erosion of trade preferences will be more pronounced in exports of intermediate and capital goods. Cambodia, the Philippines and Vietnam, on the other hand, are likely to face limited export losses as they export mainly to the United States, which is not part of RCEP. Import gains, however, will be similar for all ASEAN countries because their top-ranked import sources are RCEP members. Cambodia and Laos import primarily from Thailand, while other ASEAN countries from China. Such import gains will be visible across intermediate goods, capital goods and consumption goods.

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The key implication of preference erosion and trade reversion caused by RCEP is that, while consumers stand to gain from lower prices of imported goods, export-oriented firms and local firms in import-competing industries in ASEAN countries will face tougher competition from exporters in the +5 partners. Only firms with high productivity will stay in the market, while those with low productivity will be forced out. Therefore, developing assistance programmes to boost the performance of domestic companies is essential to mitigate the negative impact of RCEP-induced liberalization on firms and jobs in ASEAN.

However, the unfavourable effect of tariff cuts considered in this study does not necessarily mean that there is no room for ASEAN to gain from RCEP. If RCEP achieves its objective of going well beyond mere tariff reductions, then export losses due to preferential erosion could be its least important implication. In fact, addressing other key issues such as non-tariff barriers (NTBs), intellectual property rights and e-commerce will enhance competitiveness of ASEAN firms, the benefits of which will likely be greater than potential export losses of tariff cuts. For example, Austria (2013) finds that ASEAN has been "too slow" in addressing NTBs such as diverse product standards, import bans, import licensing and technical barriers to trade due to the difficulty in identifying the NTBs among the non-tariff measures (NTMs). These issues require different analytical frameworks, which could be developed in future studies.

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ANNEX

TABLE A.1

Export Values (US$) and the Top Five Export Destinations for ASEAN Economies, 2018

Country	*Total Exports (US$)*	*Top Five Export Destinations*	*% of Top Five Export Destinations in Total Exports*
Brunei	6,502,017	Japan, Thailand, South Korea, Australia, Singapore	71.8
Cambodia	20,852,032	US, Germany, Japan, China, UK	48.9
Indonesia	180,215,034	China, Japan, US, India, Singapore	50.9
Laos	6,014,887	Thailand, China, Vietnam, Japan, US	89.7
Myanmar	16,671,612	China, Thailand, Japan, India, Hong Kong	66.9
Malaysia	247,285,745	Singapore, China, US, Hong Kong, Japan	51.3
The Philippines	67,487,668	US, Hong Kong, Japan, China, Singapore	63.0
Singapore	411,741,747	China, Hong Kong, Malaysia, Indonesia, US	50.7
Thailand	249,777,335	China, US, Japan, Vietnam, Hong Kong	43.0
Vietnam	242,969,228	US, China, Japan, South Korea, Hong Kong	55.1

SOURCE: Author's calculation using data from the International Trade Centre, Trade Map. https://www.trademap.org/

TABLE A.2

Import Values (US$) and the Top Five Import Sources for ASEAN Economies, 2018

Country	*Total Imports (US$)*	*Top Five Import Sources*	*% of Top Five Import Sources in Total Imports*
Brunei	4,104,899	China, Singapore, Malaysia, US, Japan	78.9
Cambodia	27,811,098	Thailand, China, Singapore, Vietnam, Hong Kong	82.9
Indonesia	188,711,172	China, Singapore, Japan, Thailand, US	56.2
Laos	6,901,667	Thailand, China, Vietnam, Russia, Japan	93.1
Myanmar	19,345,460	China, Singapore, Thailand, India, Indonesia	74.6
Malaysia	217,451,720	China, Singapore, US, Japan, Taipei	53.5
The Philippines	115,038,016	China, South Korea, Japan, US, Thailand	53.7
Singapore	370,489,425	China, Malaysia, US, Taipei, Japan	50.8
Thailand	250,891,295	China, Japan, US, Malaysia, United Arab Emirates	50.0
Vietnam	236,837,415	China, South Korea, Japan, Taipei, US	66.5

SOURCE: Author's calculation using data from the International Trade Centre, Trade Map. https://www.trademap.org/

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FIGURE A.1
Exports of Intermediate Goods to Top Five Destinations for RCEP Economies, 2018

		ASEAN										+5 Partners					Others			
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei								e	e		e		E	e					
	Cambodia									e			E				e			e
	Indonesia								e				E	e	e			e		
	Laos									E	e		e	e				e		
	Myanmar						e			e	e		E				e			
	Malaysia								e				E	e			e			e
	The Philippines								e				e	e			E			e
	Singapore			e			e						e				E			e
	Thailand			e			e						E	e						e
	Vietnam												E	e	e		e			e
+5 Partners	Australia												E	e	e		e	e		
	China										e			e	e		e			E
	Japan									e			E		e		e			e
	South Korea										e		E	e			e			e
	New Zealand											e	E	e	e					e
Others	Hong Kong								e	e			E					e		e
	India												e				e			E
	Taipei, China	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
	US												e	e	e					

NOTES: ASEAN = Association of Southeast Asian Nations; +5 Partners = Australia, China, Japan, South Korea, and New Zealand; E = Max, e = Top 2–5. Cells correspond to exports from row to column. "–" denotes the unavailability of data.
SOURCE: Author's calculation using data from UN Comtrade, https://comtrade.un.org/data/

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FIGURE A.2
Exports of Capital Goods to Top Five Destinations for RCEP Economies, 2018

		ASEAN										+5 partners					Others			
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei						E		e				e			e				
	Cambodia									E			e	e			e			
	Indonesia								E	e				e						e
	Laos						e			E	e			e						
	Myanmar								E	e			e							e
	Malaysia								e	e			e				e			E
	The Philippines												e	e			e			E
	Singapore			e			e						E	e						e
	Thailand											e	e	e			e			E
	Vietnam												e		e					E
+5 partners	Australia								e				e			E	e			e
	China													e	e		e			E
	Japan												E		e					e
	South Korea										e		E	e			e			e
	New Zealand											E	e							e
Others	Hong Kong												E	e						e
	India								e											e
	Taipei, China	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
	US												e	e						

NOTE: See Figure A.1.
SOURCE: See Figure A.1.

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FIGURE A.3
Exports of Consumption Goods to Top Five Destinations for RCEP Economies, 2018

		ASEAN										*+5 Partners*					*Others*			
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei						e		E								e			e
	Cambodia													e						E
	Indonesia							e	e				e	e						E
	Laos									e	E		e	e						
	Myanmar												e	E				e		
	Malaysia								e				e	e						E
	The Philippines												e	e	e					E
	Singapore						e						e	e			e			E
	Thailand										e	e	e	e						E
	Vietnam												e	e	e					E
+5 Partners	Australia												E	e	e	e				e
	China													e			e			E
	Japan								e				E		e		e			e
	South Korea										e		E	e			e			e
	New Zealand											e	E	e						e
Others	Hong Kong										e		E	e						e
	India										e									E
	Taipei, China	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
	US													e			e			

NOTE: See Figure A.1.
SOURCE: See Figure A.1.

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FIGURE A.4
Imports of Intermediate Goods from Top Five Sources for RCEP Economies, 2018

		ASEAN										*+5 Partners*					*Others*			
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei						m		m				M							m
	Cambodia			m						m	m		M				m			
	Indonesia								m	m			M	m						m
	Laos									M	m		m	m						
	Myanmar			m						m	m		M					m		
	Malaysia			m					m				M	m						m
	The Philippines								m				M	m	m					m
	Singapore			m			m						m	m						M
	Thailand						m						M	m						m
	Vietnam									m			M	m	m					m
+5 Partners	Australia						m						M	m						m
	China											m		m	M					m
	Japan											m	M							m
	South Korea											m	M	m						m
	New Zealand						m					m	M							m
Others	Hong Kong						m		m				M	m	m					
	India												M							m
	Taipei, China	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
	US												m	m						

NOTES: ASEAN = Association of Southeast Asian Nations; +5 Partners = Australia, China, Japan, South Korea, and New Zealand; M = Max, m = Top 2–5. Cells correspond to imports to row from column. "–" denotes the unavailability of data.
SOURCE: Author's calculation using data from UN Comtrade, https://comtrade.un.org/data/

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FIGURE A.5
Imports of Capital Goods from Top Five Sources for RCEP Economies, 2018

		ASEAN										*+5 Partners*					*Others*		
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei						m		m				M	m						m
	Cambodia									m	m		M	m	m					
	Indonesia								m	m			M	m						
	Laos									m	m		M	m	m					
	Myanmar						m			m			M	m						
	Malaysia								m	m			M	m						
	The Philippines								m	m			M	m						
	Singapore						m						M	m						m
	Thailand						m						M	m						m
	Vietnam									m			M	m	m					
+5 Partners	Australia									m			M	m						m
	China													M	m					m
	Japan								m	m			M							m
	South Korea												M	m						m
	New Zealand									m			M	m						m
Others	Hong Kong								m	m			M	m						m
	India								m				M	m						m
	Taipei, China	–	–	–	–	–	–	–	–	–	–	–	–	–	–		–	–	–	–
	US												M	m						

NOTE: See Figure A.4.
SOURCE: See Figure A.4.

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FIGURE A.6
Imports of Consumption Goods from Top Five Sources for RCEP Economies, 2018

		ASEAN										*+5 Partners*					*Others*		
		Brunei	Cambodia	Indonesia	Laos	Myanmar	Malaysia	The Philippines	Singapore	Thailand	Vietnam	Australia	China	Japan	South Korea	New Zealand	Hong Kong	India	Taipei, China	US
ASEAN	Brunei			m			M		m	m			m							
	Cambodia			m			m			M	m		m							
	Indonesia									m	m		M					m		m
	Laos								m	M	m		m							m
	Myanmar			m						M	m		m					m		
	Malaysia			m					m	m			M					m		
	The Philippines			m						m	m		M							m
	Singapore						m						m							m
	Thailand			m							m		M	m						m
	Vietnam						m			m			M		m					m
+5 Partners	Australia									m			M			m				m
	China													m						M
	Japan									m	m		M							m
	South Korea										m		M	m						m
	New Zealand									m		m	M							m
Others	Hong Kong												M							m
	India									m	m		M							m
	Taipei, China	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–	–
	US										m		M							

NOTE: See Figure A.4.
SOURCE: See Figure A.4.

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NOTES

1. The World Bank's GDP ranking, https://datacatalog.worldbank.org/dataset/gdp-ranking
2. UNCTAD's online database, https://unctadstat.unctad.org/wds/TableViewer/tableView.aspx
3. Joint Leaders' Statement on RCEP on 4 November 2019 in Bangkok, Thailand, https://asean.org/storage/2019/11/FINAL-RCEP-Joint-Leaders-Statement-for-3rd-RCEP-Summit.pdf
4. AEC Blueprint 2025, https://www.asean.org/storage/2016/03/AECBP_2025r_FINAL.pdf
5. According to the United Nations (2021), capital goods are the sum of capital goods (except transport equipment) [BEC 41] and transport equipment, industrial [BEC 521]. Intermediate goods are the sum of food and beverages, primary, mainly for industry [BEC 111]; food and beverages, processed, mainly for industry [BEC 121]; industrial supplies not elsewhere specified, primary [BEC 21]; industrial supplies not elsewhere specified, processed [BEC 22]; fuels and lubricants, primary [BEC 31]; fuels and lubricants, processed (other than motor spirit) [BEC 322]; parts and accessories of capital goods (except transport equipment) [BEC 42]; and parts and accessories of transport equipment [BEC 53]. Consumption goods are the sum of food and beverages, primary, mainly for household consumption [BEC 112]; food and beverages, processed, mainly for household consumption [BEC 122]; fuels and lubricants, processed (motor spirit) [BEC 321]; transport equipment, non-industrial [BEC 522]; consumer goods not elsewhere specified, durable [BEC 61]; consumer goods not elsewhere specified, semi-durable [BEC 62]; and consumer goods not elsewhere specified, non-durable [BEC 63].
6. Economies reporting membership in FTAs and in economic integration agreements are coded as FTAs in this study. FTAs with partial scope—FTAs that cover only certain products—are excluded.
7. $15 \times 14/2$.
8. Japan-Singapore FTA entered into force in 2002.

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